SUDAN

Table 1	2023
Population, million	48.1
GDP, current US$ billion	109.3
GDP per capita, current US$	2271.2
International poverty rate ($2.15)[a]	15.3
Lower middle-income poverty rate ($3.65)[a]	49.7
Upper middle-income poverty rate ($6.85)[a]	86.2
Gini index[a]	34.2
School enrollment, primary (% gross)[b]	77.8
Life expectancy at birth, years[b]	65.6
Total GHG emissions (mtCO2e)	126.1

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2014), 2017 PPPs.
b/ WDI for School enrollment (2018); Life expectancy (2022).

Sudan's humanitarian crisis has worsened with famine, widespread infrastructure destruction, trade disruptions, and 12 million displaced due to the conflict. The economy is expected to shrink to two-thirds of its pre-conflict size after a second year of double-digit contraction, with a sharp rise in poverty. The loss of productive capacity and human capital will likely hinder post-conflict recovery and have lasting effects on poverty.

Key conditions and challenges

The conflict between the Sudanese Armed Forces (SAF) and the Rapid Support Forces (RSF), which started in April 2023, has intensified despite peace negotiations. The death toll has risen, and food insecurity has reached alarming levels, affecting over half of Sudan's population (25.6 million) with 2 percent (755,000) at catastrophic risk of famine. Recent floods in the eastern region have exacerbated the humanitarian crisis, leading to a major Cholera outbreak, as declared by the Minister of Health.

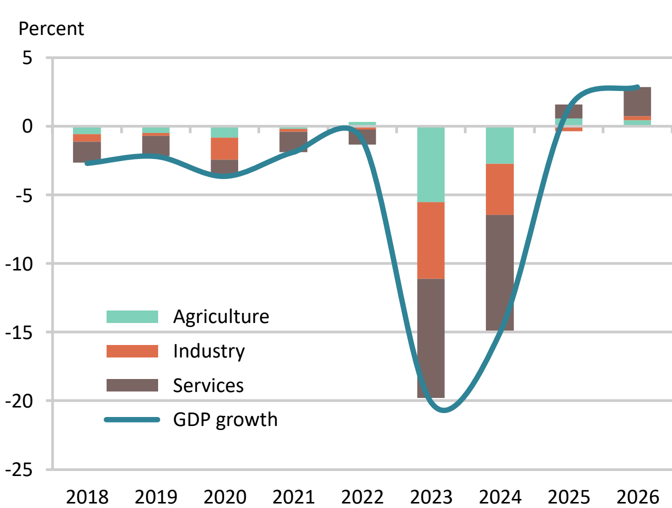
The conflict has severely damaged Sudan's economy, affecting industry, agriculture, and the oil sector, while halting education and destroying health facilities in affected areas. About 10 million people are internally displaced, and over 2 million have fled to neighboring countries. The collapse of government institutions has disrupted public spending, and the exodus of people has reduced tax base and caused a sharp decline in revenues due to decreased economic activity and demand.

The economy had already been on a downward trajectory pre-conflict due to a multitude of shocks that were exacerbated by political crises. Weak investment in physical and human capital during the oil boom years (2000-2010) and stalled structural reforms exacerbated the socio-economic impact of the secession of South Sudan in 2011. Sudan lost 75 percent of its revenues (mostly from crude oil exports, as oil fields are located in South Sudan) compounding macroeconomic vulnerabilities and fragility and GDP growth averaged -1.3 percent during 2011-18. Economic activity continued to decline over the period 2018-22, affected by growing political instability, hyperinflation amid currency pressures, and fiscal deficit monetization. Efforts to stabilize the economy, rein in subsidies, and unify the exchange rate sparked a nascent economic recovery that was derailed by the COVID pandemic and by the 2021 military intervention that halted debt relief efforts under HIPC and suspended foreign assistance inflows. As a result, over the last decade, average per capita growth was negative.

Recent developments

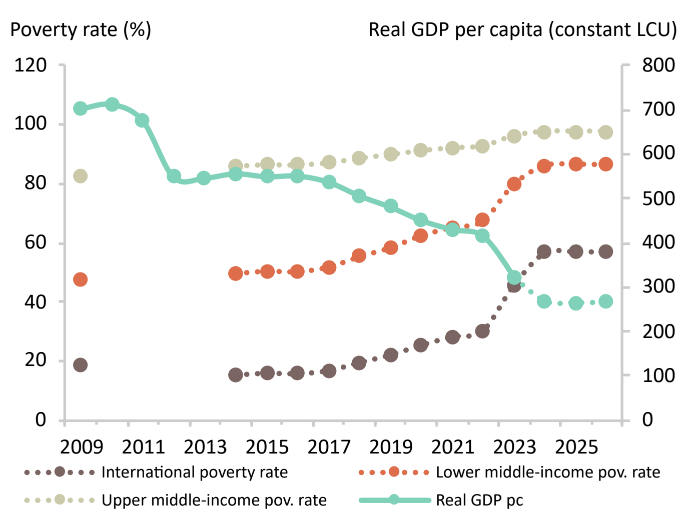
The conflict has caused a collapse in domestic demand and economic activity, eroding state capacity and spreading to previously safe regions like Gazira, Sennar, and White Nile States. This has disrupted agriculture and trade, exacerbating food insecurity and displacement. Low crop production seriously threatens food availability. The severe impact of the conflict on the telecommunications infrastructure and fuel supply has resulted in extensive outages, isolating people and disrupting aid. There are some indications that trade is being redirected through new routes to Egypt, Port Sudan,

FIGURE 1 Sudan / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank staff calculations.

FIGURE 2 Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

and South Sudan to bypass conflict. Gold exports through official channels recovered to $428 million in the first quarter of 2024, but this is still far below the pre-conflict average of $2.3 billion. Exports through informal channels are likely to remain significant and serve as a key source of financing during the conflict.

Inflation soared to 194 percent year-on-year by July 2024, among the highest globally, driven by rising food, fuel prices, rents, goods shortages, and currency depreciation, with the parallel market rate dropping from SDG 561/US$ at the end of 2022 to SDG 2260/US$ in July 2024. All fuel in Sudan is now imported due to the shutdown of the Khartoum refinery (Al-Jaili). The World Food Program food basket average price tripled between the first half of 2023 and the same period of 2024.

Most banks relocated their headquarters to Port Sudan, operating with reduced capacity, with one bank sanctioned by the US in January for funding conflict. Extreme poverty incidence, the share of the population living on less than $2.15 per day, has almost doubled from 30 percent in 2022 to 57 percent in 2024.

Outlook

The outlook remains highly uncertain. The economy is anticipated to further contract by 15.1 percent in 2024, following an estimated 20.1 percent contraction in 2023, reflecting a large decline in private consumption and investment. On the supply side, a major driver is the damage to the services sector (medical, educational, telecommunications, retail and wholesale services), which is mostly concentrated in Khartoum.

In the event of a cessation of conflict, economic indicators would start improving. Assuming that conflict ends in the next several months, a modest recovery of 1.3 percent could happen in 2025, and the economy would grow further by 2.9 percent in 2026. This scenario assumes improvements in security, as well as improvements in macroeconomic fundamentals and a resumption in international funding. Even in this positive scenario, real GDP would stay well below pre-conflict levels.

Although slowing, inflation is expected to remain in double-digits reflecting continued currency pressures and broad-based destruction of supply capacity. Extreme poverty is expected to remain high at around 64 percent in the medium term.

Over the medium term, the fiscal outlook is expected to face continued challenges, marked by a widening fiscal deficit, with a rise in expenditures, to 9.8 percent of GDP, despite a projected uptick in revenues to 6.2 percent of GDP by 2026. The external current account deficit is estimated to widen to -3.2 percent of GDP in 2024 due to a decline in primary and secondary incomes. It will deteriorate further to 17.5 percent of GDP in 2025, with a marginal improvement to 14.1 percent of GDP by 2026. This is partly due to an anticipated increase in gold exports as the government regains control over mines, although the recovery of imports is expected to outpace that of the exports as domestic capacity takes time to rebound. Public debt is expected to remain elevated due to ongoing fiscal challenges and the absence of debt relief under the HIPC initiative.

The economic outlook faces considerable risks from stalled peace talks, posing a threat to recovery efforts by worsening fiscal imbalances and deterring foreign investment and aid.

TABLE 2 Sudan / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-1.9	-1.0	-20.1	-15.1	1.3	2.9
Private consumption	-0.9	-0.8	-18.0	-17.3	-0.9	1.4
Government consumption	-9.6	1.9	-36.5	-4.3	11.6	17.3
Gross fixed capital investment	-2.1	1.2	-20.0	-22.9	-1.5	1.8
Exports, goods and services	8.0	12.0	-39.9	36.4	18.8	5.0
Imports, goods and services	-0.5	8.7	-22.3	-25.7	-10.8	8.0
Real GDP growth, at constant factor prices	-1.9	-1.0	-20.0	-15.1	1.3	2.9
Agriculture	-0.6	1.0	-16.3	-7.6	1.5	1.2
Industry	-0.7	-0.7	-19.7	-13.1	-1.1	1.1
Services	-3.9	-3.0	-23.7	-24.2	3.3	6.6
Inflation (consumer price index)	359.7	164.2	65.8	180.2	89.4	33.1
Current account balance (% of GDP)	-7.3	-6.0	-0.6	-3.2	-17.6	-14.1
Net foreign direct investment inflow (% of GDP)	-1.6	-1.3	-0.7	-1.4	-1.2	-1.1
Fiscal balance (% of GDP)	-0.3	-1.7	-3.8	-3.2	-3.5	-3.5
Revenues (% of GDP)	10.5	10.0	4.8	3.4	4.5	6.2
Debt (% of GDP)[a]	215.6	183.6	167.3	146.5	147.4	134.9
Primary balance (% of GDP)	-0.3	-1.4	-3.7	-3.2	-3.5	-3.5
International poverty rate ($2.15 in 2017 PPP)[b,c]	28.3	30.3	45.6	56.7	57.3	57.1
Lower middle-income poverty rate ($3.65 in 2017 PPP)[b,c]	65.3	67.4	79.8	86.2	86.6	86.5
Upper middle-income poverty rate ($6.85 in 2017 PPP)[b,c]	92.2	92.8	96.1	97.6	97.6	97.6
GHG emissions growth (mtCO2e)	1.6	-0.3	-1.8	-0.6	0.5	2.2
Energy related GHG emissions (% of total)	17.2	17.0	15.2	15.9	16.9	18.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Debt projections do not include any restructuring achieved during the HIPC process.
b/ Calculations based on 2014-NBHS. Actual data: 2014. Nowcast: 2015-2023. Forecasts are from 2024 to 2026.
c/ Projection using neutral distribution (2014) with pass-through = 1 (Med (0.87)) based on GDP per capita in constant LCU.